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AA-73-2024

IN THE HIGH COURT OF MADHYA PRADESH
AT JABALPUR

BEFORE

HON'BLE SHRI JUSTICE DEEPAK KHOT

ON THE 10th OF AUGUST, 2026ARBITRATION APPEAL No. 73 of 2024*MATHURA PRASAD AGRAWAL**Versus**NATIONAL HIGHWAY AUTHORITY OF INDIA AND OTHERS*

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Appearance:

*Ms. Tulika Gulati - Advocate for the appellant.**Shri Mohan Sausarkar - Advocate for the respondents.*
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ORDER

The present appeal has been filed by the applicant under Section 37 of the Arbitration and Conciliation Act, 1996 (hereinafter referred to as 'the Act of 1996' for the sake of brevity) being aggrieved by the impugned order dated 18.03.2024 passed by III District Judge, District Chhattarpur in MJC No.124/2023.

2. It is the case of the appellant that appellant is the owner of land bearing Khasra No.1972/1, ad-measuring 0.871 hectares and half share of Khasra No.1974 ad measuring 0.112 hectares, situated at Village Sarani, Tahsil and District Chhattarpur. The said land was acquired in pursuance of notification under Section 3G of the National Highways Act, 1956, however, upon acquisition, adequate compensation was not paid. Being aggrieved with the award dated 13.4.2017, 5.6.2017 and 31.7.2017, the applicant approached the Commissioner/Arbitrator under section 3G(5) of the Act for enhancement of compensation. However, the application was rejected on the



ground that after publication, no objection was filed by the applicant. Thereafter, the appellant filed an application under Section 34 of the Act of 1996. However, the Civil/Commercial Court by the impugned order dated 18.03.2024 without appreciating the merit of the case has dismissed the application only on the ground of limitation.

3. It has been contended by learned counsel for the appellant that the impugned order passed by the Civil Court/Commercial Court is contrary to the provisions of sub section (2) of section 34 of the Arbitration and Conciliation Act, 1996 inasmuch as the award passed is in conflict with the public policy of India and also against the settled provisions of law. It is further submitted that the typographical error could be corrected at any time and there is no limitation prescribed for it. It is further contended that respondent no.2/Collector has passed the back dated order on 20.4.2023 whereas the award mentions the date 14.2.2023. It is further submitted that market value of land is Rs.900/- per sqft. but the amount of compensation has been awarded on the basis of acre, thus the compensation was wrongly calculated and is very meagre.

4. Per contra, learned counsel for the respondent has submitted that the order dated 18.03.2024 passed by the learned Court below is just and proper and relying upon the judgment of the Hon'ble Apex court in the case of *Union of India Vs. Popular Construction Company, (2001) 8 SCC 470*, submitted that section 5 of the Limitation Act could not be applied to the application under section 34 of the Act and the time period prescribed by section 34(3) of the Act is absolutely and unextendible and the relevant. It is



further submitted that the award has been passed on 14.02.2023, but the applicant has filed the application under Section 34 beyond the prescribed limit of 3 months and 30 days.

5. Heard learned counsel for the parties and perused the record.

6. The Hon'ble Apex Court in the case of *Union of India Vs. Tecco Trichy Engineers & Contractors, (2005) 4 SCC 238*, has held as under:-

8. The delivery of an arbitral award under sub-Section (5) of Section 31 is not a matter of mere formality. It is a matter of substance. It is only after the stage under Section 31 has passed that the stage of termination of arbitral proceedings within the meaning of Section 32 of the Act arises. The delivery of arbitral award to the party, to be effective, has to be "received" by the party. This delivery by the arbitral tribunal and receipt by the party of the award sets in motion several periods of limitation such as an application for correction and interpretation of an award within 30 days under Section 33(1), an application for making an additional award under Section 33(4) and an application for setting aside an award under Section 34(3) and so on. As this delivery of the copy of award has the effect of conferring certain rights on the party as also bringing to an end the right to exercise those rights on expiry of the prescribed period of limitation which would be calculated from that date, the delivery of the copy of award by the tribunal and the receipt thereof by each party constitutes an important stage in the arbitral proceedings.

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12. The learned Single Judge of the High Court as also the Division Bench have erred in holding the application under Section 34 filed on behalf of the appellant as having been filed beyond a period of 3 months and 30 days within the meaning of sub-Section (3) of Section 34. There was a delay of 27 days only and not of 34 days as held by the High Court. In the facts and circumstances of the case, the delay in filing the application deserves to be condoned and the application under sub-Section (1) of Section 34 of the Act filed on behalf of the appellant deserves to be heard and decided on merits.

13. The appeal is allowed. The application under Section 34(1) filed on behalf of the appellant shall stand restored in the High Court, to be heard and decided in accordance with law by the learned Single Judge. No order as to costs."

(Emphasis Supplied)

7. The Hon'ble Apex court in the case of *Benarsi Krishna Committee*



and others Vs. Karmyogi Shelters Private Limited, (2012) 9 SCC 496, has

held as under:-

“16. The view taken in Pushpa Devi Bhagat’s case (supra) is in relation to the authority given to an Advocate to act on behalf of a party to a proceeding in the proceedings itself, which cannot stand satisfied where a provision such as Section 31(5) of the 1996 Act is concerned.

The said provision clearly indicates that a signed copy of the Award has to be delivered to the party. Accordingly, when a copy of the signed Award is not delivered to the party himself, it would not amount to compliance with the provisions of Section 31(5) of the Act. The other decision cited by Mr. Ranjit Kumar in Nilakantha Sidramappa Ningschetti’s case (supra) was rendered under the provisions of the Arbitration Act, 1940, which did not have a provision similar to the provisions of Section 31(5) of the 1996 Act. The said decision would, therefore, not be applicable to the facts of this case also.

17. In the instant case, since a signed copy of the Award had not been delivered to the party itself and the party obtained the same on 15th December, 2004, and the Petition under Section 34 of the Act was filed on 3rd February, 2005, it has to be held that the said petition was filed within the stipulated period of three months as contemplated under Section 34(3) of the aforesaid Act. Consequently, the objection taken on behalf of the Petitioner herein cannot be sustained and, in our view, was rightly rejected by the Division Bench of the Delhi High Court.

18. Consequently, the Special Leave Petition must fail and is dismissed.”

(Emphasis supplied)

8. This Court in the case of *Ganpat Vs. Land Acquisition Officer and Sub Division Officer and others decided on 16.7.2024 in A.A.No.57/2024* has held as under :-

13. Thus, in the light of the aforesaid provisions of law, and the dictum of the Supreme Court, this court is required to appreciate the facts of the case in hand where the copy of the award was admittedly not delivered to the appellants.

14. On perusal of the record of all the 11 connected appeals, it is found that in all the cases the application to obtain the certified copy of the award passed by the District Collector, Dhar was filed on 26.09.2022, and in all the cases, certified copy of the award was obtained on 07.10.2022 only. Considering the fact that 11 appeals have been filed by 11 different persons, it is difficult to assume that all of them went to the office of the District Collector on the same day to apply for the certified copy of the award, and then went to collect the same on the same day i.e. on 07.10.2022. It clearly indicates that only one person must have applied for and



received the certified copies of the awards passed by the District Collector, Dhar and in such circumstances, even if such person has not filed his affidavit, considering the fact that the case has arisen out of land acquisition proceedings in which the high stakes of poor villagers/cultivators are involved, in the absence of the proper compliance of Section 31(5) of the Act of 1996 which provides that, 'After the arbitral award is made, a signed copy shall be delivered to each party ', this Court is of the considered opinion that benefit of doubt ought to have been given to the appellants to hold that they have filed the application under Section 34 within the prescribed period of limitation.

15] This Court is also of the considered opinion that when the collector himself appears to be ignorant of law, and has not complied with the mandatory provisions of Section 31(5) of the Act of 1996, by not delivering the copy of the award to the appellant, it is unreasonable and unjustifiable for the court to shift entire burden of proof on the appellant, who hails from a remote village of district Dhar, to show that the application u/s.34 was filed in time. Thus, under the facts and circumstances of the case, it can be safely presumed that the appellant filed the appeal within the extended period of 30 days over and above the 90 days as provided u/s.34(3) of the Act of 1996.

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18] A perusal of the aforesaid order also reveals that it is also distinguishable, as in the said order, the court has emphasized on the knowledge of the award, whereas, in the case at hand, this court has already held that it is not exactly known as to when the award came to the knowledge of the appellant because the certified copy of the award was obtained by some other person, and it is also not the case that any undue delay was caused in filing the application u/s.34 of the Act of 1996 as the delay was of 73 days only. Thus, in the facts and circumstances of the case, this Court is of the considered opinion that the aforesaid decision of Allahabad High Court is also of no avail to the respondents.

19] Resultantly, the appeal is allowed, and the impugned order dated 06.04.2024 is hereby set aside, and it is held that the application u/s.34 of the Act of 1996 filed by the appellant was within limitation.

Consequently, the matter is remanded back to the District Court for its decision on the merits of the case".

9. From perusal of the order passed by this Court as well as the law laid down by the Hon'ble Apex court in catena of judgments, it is clear that the period as provided under section 34(3) of the Act of 1996 will reckon from the date when the signed copy of the order is received by the party.

10. In the present case in hand, from perusal of the record, it is evident



that the Arbitrator/Collector has passed the award on 14.2.2023 and dismissed the claim of the applicant. From perusal of the award dated 14.2.2023, it is nowhere mentioned that the signed copy of the award has been delivered to the applicant. Thus, it is apparent that there is non-compliance of the mandatory provision of section 31(5) of the Act.

11. Further, from perusal of the order-sheets of the record of Arbitrator, it is found that the award was passed on 14.2.2023 whereas counsel for the applicant has noted the order-sheet dated 14.2.2023 on 20.4.2023, which shows that the applicant acquired the knowledge of the award only on 20.4.2023. Further, the applicant applied for certified copy of the award immediately on the next day, i.e. on 21.4.2023 and the certified copy of the award was delivered to him on 3.5.2023. The applicant has filed the application under section 34 of the Act on 28.6.2023. Even assuming that the award was passed on 14.2.2023 and no back dated order passed by the Arbitrator is available on record, however, from perusal of the order-sheet dated 14.2.2023 of the Arbitrator/Collector, it is evident that the order-sheet was signed/noted by the counsel for the applicant only on 20.4.2023. Thus, in absence of non-compliance of the mandatory provision of section 31(5) of the Act, whereby the signed copy of the award has not been delivered to the applicant, it can safely be presumed that the applicant acquired the knowledge of passing of the award only on 20.4.2023. Thus, the application filed by the applicant under section 34 of the Act on 28.6.2023 is within the prescribed period of limitation.

12. Thus, the court below has erred in holding that the application



under section 34 of the Act filed by the applicant is beyond the period prescribed of limitation. The learned court below has overlooked the order-sheet dated 14.2.2023, wherein the counsel for the applicant has signed the order-sheet on 20.4.2023. Further, it is clear from the award that signed copy of the award has not been delivered to the applicant. Thus, from the date of acquiring knowledge of award, the limitation shall be counted. The application under section 34 of the Act has been filed on 28.6.2023, i.e. within 90 days from the date of acquiring knowledge, i.e. 20.4.2023. Thus, the application filed by the applicant is within the prescribed period of limitation.

13. In view of the aforesaid analysis of facts, the impugned order dated 28.06.2023 passed III District Judge, District Chhattarpur in MJC No.124/2023 is set-aside. The matter is remanded back to the Civil/Commercial Court to decide it absolutely in consonance of the Section 34(2)(b)(ii) of the Act of 1996.

14. With the aforesaid, appeal is disposed of.

(DEEPAK KHOT)
JUDGE

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